GENERAL CONDITION OF TENDER

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GENERAL CONDITIONS OF TENDER

GCT 1 Definitions

(1) For the purpose of these General Conditions of Tender and Special Conditions of Tender:

(a) *conditions of contract* means the core clauses and the clauses for main Option A and secondary Options X1, X5, X7, X14, X15, X16, X20 and Z of the NEC4 Engineering and Construction Contract (June 2017, with amendments October 2020) published by Thomas Telford Ltd., with amendments identified in the Schedule to the Articles of Agreement referred to in Clause GCT 2(a)(ii) of these General Conditions of Tender below;

(b) words and expressions used throughout shall, except when the context otherwise requires, have the same meaning assigned to them under the *conditions of contract*;

(c) terms identified in the Contract Data are in italics;

(d) in addition, the following words and expressions shall have the meaning hereby assigned to them:

(i) "*Project Manager* designate" means Principal Project Coordinator/Environmental Projects, Major Works Project Management Office, Highways Department, 6th Floor, Ho Man Tin Government Offices, 88 Chung Hau Street, Ho Man Tin, Kowloon, Hong Kong. The contact person is Mr. Alex C W CHAN. His telephone no. is 2762 3605 and his fax no. is 2714 5198.

(ii) "unincorporated joint venture", "participant", "incorporated joint venture" and "shareholder" shall bear the same meanings as those given in paragraph 6 of the Environment, Transport and Works Bureau Technical Circular (Works) No. 50/2002 on Contractors' Joint Venture.

(iii) "person" includes individual, corporation, partnership, firm and unincorporated body.

(2) In these General Conditions of Tender and Special Conditions of Tender, except where the context otherwise requires, the singular shall include the plural and vice versa and any gender shall include all genders.

GCT 2 Documents issued

The following documents are issued to tenderers:

(a) One copy of booklet containing:

(i) These Conditions of Tender comprising the General Conditions of Tender and the Special Conditions of Tender;

(ii) Articles of Agreement and its Schedule;

(iii) Contract Data Part one;

(iv) *additional conditions of contract*;

(v) Scope (including Particular Specification except the drawings as listed in Appendix A2 to the Particular Specification); and

(vi) Site Information.

(b) One copy of booklet containing:

(i) Form of Tender;

(ii) Contract Data Part two; and

(iii) *activity schedule*

(c) One set of drawings as listed in Appendix A1 to the Particular Specification,

(d) One set of the Electronic Dissemination Package (EDP) consisting of:

(i) Files containing the contents of the documents stated in sub-clauses (a), (b) and (c) above,

(ii) The Licence Conditions on using the files stated in (i) of this sub-clause,

(iii) Supporting files containing information on using the files in (i) of this sub-clause.

GCT 3 Relevant documents not issued

The following documents are not issued to tenderers:

(a) Standard documents, namely:

(i) NEC4 Engineering and Construction Contract (June 2017, with amendments October 2020) published by Thomas Telford Ltd.,

(ii) General Specification for Civil Engineering Works, 2020 Edition (the Government of the Hong Kong Special Administrative Region) and the Corrigendum together with any latest amendment issued up to and including the day before the closing date of tender.;

(iii) Construction Site Safety Manual (CSSM) (Chapter 3) together with all amendments and additions issued up to and including the date before the closing date of the tender;

(iv) The Hong Kong International Arbitration Centre Domestic Arbitration Rules, 2014 Edition; and

(v) The Government of the Hong Kong Special Administrative Region Construction Mediation Rules.

(b) Reference documents, namely:

(i) Drawings as listed in Appendix A2 to the Particular Specification; and

(ii) Site Investigation information, which comprises As-built Drawings for Noise Barriers.

The documents referred to in (a) and (b) above may be inspected, by appointment, at the *Project Manager* designate's office during normal office hours.

(c) The "Index Numbers of the Costs of Labour and Materials used in Public Sector Construction Projects (April 2021=100)", with base date at April 2021 and the "Average Daily Wages of Workers Engaged in Public Sector Construction Projects as Reported by Main Contractors (2021 Edition of Data Series)". The former are published in the Government of the Hong Kong Special Administrative Region Gazette, whereas the latter are available on the website of the Census and Statistics Department.

GCT 4 Submission of tender (Formula Approach)

(1) The following documents shall be enclosed in a sealed envelope addressed, endorsed and deposited as required by the Gazette Notification or Letter of Invitation to Tender or the Tender Notice:

(a) One set of the documents referred to in Clause GCT 2(b) above with:

(i) The Form of Tender in hard copy format duly signed.

(ii) The Contract Data Part two in hard copy format duly completed and signed.

(iii) The *activity schedule* in either hard copy format or electronic format fully priced as to each activity, extended, cast and totalled as appropriate.

(b) A copy each of the documents submitted under sub-clauses (1)(a)(i), (1)(a)(ii) and (1)(a)(iii) of this Clause.

(c) The submissions that are required by the General Conditions of Tender (GCT) and Special Conditions of Tender (SCT).

(2) If a tenderer submitted the documents required under sub-clause (1)(a) of this Clause in electronic format as allowed thereunder but failed to submit the required copy under sub-clause (1)(b) of this Clause, the tender opening team shall make the required copy in electronic format on the tenderer's behalf. The tenderer may be asked to bear the cost of making the copy. The cost of duplication is currently set at $54 per electronic file and the material charge at $1.1 per CD-ROM and $1.3 per 4.7GB DVD+/–R.

(3) If a tenderer submitted the documents required under sub-clause (1)(a) of this Clause in hard copy format as allowed or required thereunder but failed to submit the required copy under sub-clause (1)(b) of this Clause, the tender opening team shall make the required photocopies on the tenderer's behalf. The tenderer may be asked to bear the cost of making the photocopies. The cost of photocopying is currently set at $14.8 per copied page, which cost also covers material.

(4) If a tenderer elects to submit the priced *activity schedule* in hard copy format and where a hard copy has been supplied by the *Client*, it should price the *activity schedule* on the hard copy supplied by the *Client*. If a tenderer fails to do so, any extra cost incurred by the *Client* in checking whether the printed descriptions or figures of the tender are identical to those in the hard copy supplied by the *Client* is recoverable by the *Client* as a debt. The tenderer whose tender has been so checked shall pay such cost if demanded by the *Client*.

(5) Where a document may be submitted in hard copy format or electronic format and if a tenderer makes two submissions for the same document, one in hard copy format and one in electronic format, the submission in hard copy format shall be discarded.

(6) All submissions in electronic format shall comply with the requirements set out in Appendix A to these General Conditions of Tender.

GCT 5 Financial Information

The tenderer shall, upon written request by the *Project Manager* designate issued in accordance with General Conditions of Tender Clause GCT 25, submit to the *Project Manager* designate the financial information set out in Appendix B to these General Conditions of Tender. The information shall be used for tender assessment only and shall not form part of this contract.

GCT 6 Unauthorised alterations

Any unauthorised alteration or erasure or obliteration to the text of the documents may cause the tender to be disqualified.

GCT 7 Discrepancies in the documents

The tenderer shall check the numbers of pages of all documents against page numbers given in summaries, and should it find any discrepancy or indistinctness, it must inform the *Project Manager* designate and have the same rectified.

GCT 8 Clarification of documents

Should the tenderer for any reason whatsoever be in doubt about the precise meaning of any item or figure contained in the documents it shall seek clarification from the *Project Manager* designate.

GCT 9 Qualification of tender

Any qualification of the tender may cause the tender to be disqualified.

GCT 10 Errors in tender submission

In the event of a tenderer discovering an error in its tender after it has been deposited, attention in writing may be drawn to the error and an amendment submitted which, provided that the amendment shall have been deposited before the time fixed for receipt of tenders, shall be accepted.

GCT 11 Correction rules for tender errors

Without prejudice to other General Conditions of Tender and Special Conditions of Tender, if errors and/or omissions are found in a tender during tender examination, such errors and/or omissions shall be dealt with in accordance with the principles and rules contained in Appendix F to these General Conditions of Tender.

GCT 12 Tenders in Hong Kong dollars

Unless otherwise provided, the tender shall be in Hong Kong dollars.

GCT 13 Tender negotiation

The *Client* reserves the right to negotiate with any tenderer about the terms of the offer.

GCT 14 Erratic pricing

(1) Without prejudice to the generality of the other General Conditions of Tender and Special

Conditions of Tender, the *Client* may regard a tender as not being the most advantageous, irrespective of whether or not it is the lowest tender or the tender with the highest overall score, if in the *Client*'s opinion:

(a) the *activity schedule* of the tender have been priced erratically whether or not such erratic pricing is the result of the application of Appendix F to these General Conditions of Tender; and

(b) the erratic pricing is such as to expose the *Client* to an unacceptable level of financial risk.

(2) For the purposes of this Clause, "erratic pricing" means the situation where an activity or certain activities in an *activity schedule* are priced or structured in such a way as to suggest significant and unjustified:-

(a) inconsistency, irregularity or non-uniformity as compared with activity or activities of the same or similar nature in the same *activity schedule* or another *activity schedule* submitted by the same tenderer in the same tendering exercise; or

(b) deviation from prevailing market prices in respect of the same or similar activity or activities.

The expression "priced erratically" shall be construed accordingly.

(3) In determining prevailing market price, the *Client* may take into account the *Project Manager* designate's estimates, the average price of the same activity in other tenders submitted for the same tendering exercise, and/or the price of the same or similar activities in other tendering exercises after making adjustment for changes in price in accordance with inflation or deflation.

GCT 15 Tender addenda

Should the *Client* require any amendments, clarifications, or adjustments to be made to the tender documents for the purpose of tendering, the *Project Manager* designate will issue to every tenderer numbered addenda giving full details of such amendments etc. and the tender documents shall be taken as having been amended, clarified or adjusted accordingly upon the issue of these addenda. The tenderer shall acknowledge receipt of these addenda.

GCT 16 Tender clarifications

(1) The *Client* will not consider any clarification or information submitted by a tenderer after close of tender irrespective of whether or not the clarification or information is submitted at the invitation of the *Client* if such clarification or information would alter the tender in substance or give the tenderer an advantage over the other tenderers.

(2) Without prejudice to the generality of sub-clause (1) of this Clause, where the *Project Manager* designate has after close of tender invited a tenderer to submit further information or clarification other than the Excepted Information, the tenderer shall submit the requested information or clarification within the time specified in such invitation or within such further time as the *Project Manager* designate may allow.

(3) If the requested information or clarification is not provided within the time or further time as referred to in sub-clause (2) of this Clause, the *Client* may proceed to evaluate the tender on an as is basis, but in the case where the information is in respect of the letters referred to in Clause GCT 26(3) and Clause GCT 29(4) of the General Conditions of Tender, the duly signed letter of consent and authorization referred to in Clause GCT 34(1) of the General Conditions of Tender or the information related to the "General statements" and "X1 Price adjustment for inflation" in the

Contract Data Part two required under Clause GCT 4(1)(a)(ii) of the General Conditions of Tender, the tender may be invalidated.

(4) For the purposes of this Clause, "Excepted Information" means the information required to be submitted upon written request by the *Project Manager* designate under Clause GCT 25 of the General Conditions of Tender and any information for which it is provided that a tenderer's failure to submit on or before close of tender will render its tender invalid or result in its tender not being considered.

GCT 17 Unreasonably low bids

Without prejudice to the generality of other General Conditions of Tender and Special Conditions of Tender, the *Client* may reject a tender which in the opinion of the *Client* is unreasonably low in terms of price and may therefore affect the tenderer's capability to carry out and complete this contract and/or deliver work of the quality required in accordance with the terms of this contract.

GCT 18 Site investigation information

(1) Site investigation information as listed in Clause GCT 3(b) of these General Conditions of Tender is available for inspection by appointment at the *Project Manager* designate's office during normal office hours for the information of the tenderer. Any site investigation information, if issued, is to be returned to the *Project Manager* designate's office after submission of the tender.

(2) Neither the *Client* nor its agents or representatives accept any responsibility whatsoever for the accuracy or sufficiency of any information provided under this Clause and the onus is on the tenderer to carry out at its own expense any further enquiries and investigations it requires for its own information.

GCT 19 Copyright

(1) The documents, plans, drawings or other materials forming part of the tender documents shall only be used by a tenderer or any person authorized or licensed by the tenderer for the purpose of preparing its tender. All other rights in the aforesaid materials are reserved by the relevant copyright owners. The tenderer shall be liable to the *Client* for breach of the foregoing by any such person as if the breach were committed by the tenderer.

(2) The tenderer shall indemnify and keep indemnified the *Client* against all losses, liabilities, damages, costs, legal costs, professional and other expenses of any nature whatsoever incurred or suffered by the *Client* whether direct or consequential arising out of any disputes or other claims or proceedings against the *Client* by any third party by reason of any breach of sub-clause (1) above by the tenderer or any person authorized or licensed by the tenderer. In this connection the tenderer shall submit with its tender a Letter of Indemnity in the form set out in Appendix C1 to these General Conditions of Tender duly executed by the tenderer. Where the tenderer is an incorporated joint venture, it shall also submit with its tender a Letter of Indemnity in the form set out in Appendix C2 to these General Conditions of Tender duly executed by all the shareholders of the incorporated joint venture.

GCT 20 Management of Subcontractors

(1) The tenderer shall, upon written request by the *Project Manager* designate issued in accordance with General Conditions of Tender Clause GCT 25, submit to the *Project Manager* designate an outline Subcontractor Management Plan (SMP) which shall contain information as required in the Guidelines on Scope and Contents of the Subcontractor Management Plan at Appendix B to the *additional conditions of contract*. The outline SMP submitted shall not form part of this contract.

(2) For the purpose of this Clause and Appendix B to the *additional conditions of contract*, the term 'subcontractor' means all types of subcontractor including without limitation Specialist Subcontractor.

GCT 21 Essential submissions

Without prejudice to other General Conditions of Tender or Special Conditions of Tender providing for invalidating a tender submitted by a tenderer, the failure of a tenderer to submit with its tender any of the following on or before the original date set for the close of tender or, if this has been extended, the extended date shall render its tender invalid:

(i) the Form of Tender required under Clause GCT 4(1)(a)(i);

(ii) the *activity schedule* required under Clause GCT 4(1)(a)(iii);

(iii) where the tenderer is an unincorporated joint venture, nomination of a lead participant required under SCT Clause SCT 5(2)(a); and

(iv) where the tenderer is a joint venture (whether incorporated or unincorporated), the proposed value of works to be undertaken by each participant or shareholder in the joint venture in the JV Proforma as required under SCT Clause SCT 5(4)A.

GCT 22 Contractors under suspension

(1) If the tenderer or, if the tenderer is an unincorporated or incorporated joint venture, any participant of the unincorporated joint venture or shareholder of the incorporated joint venture is under suspension from tendering for Roads and Drainage category of the List of Approved Contractors for Public Works, its tender will not be considered unless the suspension is lifted by the relevant works department or the Development Bureau by the date set for the close of tender, or if this has been extended, the extended date.

(2) If the tenderer or, if the tenderer is an unincorporated or incorporated joint venture, any participant of the unincorporated joint venture or shareholder of the incorporated joint venture is under voluntary suspension from tendering for Roads and Drainage category of the List of Approved Contractors for Public Works at the date of tender invitation but subsequently revokes the voluntary suspension without agreement in writing from either the relevant works department or the Development Bureau, its tender will not be considered.

GCT 23 Alternative tenders or designs uninvited

Alternative tenders or designs for which no invitation has been made shall not be considered.

GCT 24 Offering gratuities

The tenderer shall not and shall ensure that its agents and employees shall not offer or give any advantage, gratuity, bonus, discount, bribe or loan of any sort to any agent or employee of the *Client* or to the *Project Manager* designate or to any member of the *Project Manager* designate's staff. Any breach of or non-compliance with this Clause by the tenderer shall, without affecting the tenderer's liability for such breach or non-compliance, invalidate its tender.

GCT 25 Submission of further information

The tenderer shall upon written request by the *Project Manager* designate (which may be issued at any time after the tender closing date) submit to the *Project Manager* designate within 7 days of the date of issue of the

written request or within reasonable time upon the written request the following documents:

(a) Financial information as referred to in Clause GCT 5;

(b) Outline Subcontractor Management Plan as referred to in Clause GCT 20(1);

(c) Letter of Undertaking (where the tenderer is an unincorporated joint venture) as referred to in Clause SCT 5(2)(b);

(d) Letter of Undertaking (where the tenderer is an incorporated joint venture) as referred to in Clause SCT 5(3)(b);

(e) ISO 9001 certificate, confirmation, undertaking, declaration and/or written notification as referred to in Clause SCT 7;

(f) Either a statement of all convictions or a statement of "no conviction" as referred to in the Clauses GCT 27(2) and GCT 28(2);

(g) Outline Environmental Management Plan as referred to in Clause SCT 8(1); and

(h) Documentary evidence as referred to in Clause SCT 5(6)(c) and (d).

Failure to comply with this Clause by the tenderer shall render its tender invalid.

GCT 26 Anti-collusion

(1) (a) Subject to sub-clause (2) of this Clause, the tenderer shall not communicate to any person other than the *Client* the amount of the tender price or any part thereof until the tenderer is notified by the *Client* of the outcome of the tender exercise.

(b) Further to paragraph (a) of this sub-clause, the tenderer shall not fix the amount of the tender price or any part thereof by arrangement with any other person, make any arrangement with any person about whether or not he or that other person will or will not submit a tender or otherwise collude with any person in any manner whatsoever in the tendering process.

(c) Any breach of or non-compliance with this sub-clause by the tenderer shall, without affecting the tenderer's liability for such breach or non-compliance, invalidate its tender.

(2) Sub-clause (1)(a) of this Clause shall have no application to the tenderer's communications in strict confidence with:

(a) its own insurers or brokers to obtain an insurance quotation for computation of tender price;

(b) its consultants or subcontractors to solicit their assistance in preparation of tender submission; and

(c) its bankers in relation to financial resources for this contract.

(3) The tenderer shall submit with its tender a duly signed and witnessed letter in the form set out in Appendix D to these General Conditions of Tender. The signatory to the letter shall be a person authorized to sign Government contracts on the tenderer's behalf.

(4) The tenderer shall indemnify and keep indemnified the *Client* against all losses, damages, costs or expenses arising out of or in relation to any breach of or non-compliance with sub-clause (1) of this Clause by the tenderer, including but not limited to additional costs due to price escalation, costs and

expenses of re-tendering and other costs incurred.

GCT 27 Statement of convictions under the Immigration Ordinance (Cap. 115)

(1) A tender will not be considered if, during the 12-month period prior to the date set for the close of tender, or if this has been extended, the extended date, the tenderer has had three or more convictions in respect of separate incidents under Sections 17I or 38A of the Immigration Ordinance (Cap. 115) for employing illegal workers or for having illegal workers on any site under the tenderer's control, whether or not it has been formally suspended as a result of such convictions. Illegal workers shall mean any persons on construction sites who are illegal immigrants; or any persons who, being not lawfully employable by virtue of Section 17G(2) of the Immigration Ordinance, have committed an offence under Section 41 by contravening the conditions of stay in force in respect of them. If the tenderer is an unincorporated or incorporated joint venture, the tender will not be considered if any participant of the unincorporated joint venture or shareholder of the incorporated joint venture has had three or more such convictions during the 12-month period, whether or not that participant or shareholder has been formally suspended as a result of such convictions.

(2) The tenderer shall submit, subject to General Conditions of Tender Clause GCT 25, <u>either</u> a statement of all convictions under Sections 17I or 38A of the Immigration Ordinance (Cap. 115) for employing illegal workers or for having illegal workers for all sites under its control (whether they are sites under public or private contracts) during the 12-month period prior to the date set for the close of tender, or if this has been extended, the extended date, the details of which shall include the legislation violated, dates of offences, dates of convictions and the associated fine imposed by the court, site addresses, contract numbers and contract titles, <u>or</u> a statement of "no conviction". The statement shall be certified by a person authorized to sign Government contracts on the tenderer's behalf.

(3) If the tenderer is an unincorporated or incorporated joint venture, each participant of the unincorporated joint venture or shareholder of the incorporated joint venture shall submit such a statement separately.

(4) Where the tenderer (including shareholders and participants in joint ventures) is a company it shall disclose any change of name made during the period of twelve months prior to the date set for the close of tender, or if this has been extended, the extended date, and shall include in its statement of all convictions any conviction recorded under any previous name.

GCT 28 Statement of convictions under the Employment Ordinance (Cap. 57)

(1) A tender will not be considered if, during the 12-month period prior to the date set for the close of tender, or if this has been extended, the extended date, the tenderer has had three or more convictions in respect of separate incidents under the Employment Ordinance (Cap. 57) on any site under the tenderer's control, whether or not it has been formally suspended as a result of such convictions. If the tenderer is an unincorporated or incorporated joint venture, the tender will not be considered if any participant of the unincorporated joint venture or shareholder of the incorporated joint venture has had three or more such convictions during the 12-month period, whether or not that participant or shareholder has been formally suspended as a result of such convictions.

(2) The tenderer shall submit, subject to General Conditions of Tender Clause GCT 25, <u>either</u> a statement of all convictions under the Employment Ordinance (Cap. 57) for all sites under its control (whether they are sites under public or private contracts) during the 12-month period prior to the date set for the close of tender, or if this has been extended, the extended date, the details of which shall include the legislation violated, dates of offences, dates of convictions and the associated fine imposed by the court, site addresses, contract numbers and contract titles, <u>or</u> a statement of "no conviction". The statement shall be certified by a person authorized to sign Government contracts on the tenderer's behalf.

(3) If the tenderer is an unincorporated or incorporated joint venture, each participant of the unincorporated joint venture or shareholder of the incorporated joint venture shall submit such a statement separately.

(4) Where the tenderer (including shareholders and participants in joint ventures) is a company it shall disclose any change of name made during the period of twelve months prior to the date set for the close of tender, or if this has been extended, the extended date, and shall include in its statement of all convictions any conviction recorded under any previous name.

GCT 29 One tender only for holding companies, subsidiaries or related parties

(1) Unless otherwise provided in the Special Conditions of Tender, no tenderer is permitted to submit more than one tender for each contract.

(2) (a) A holding company and all of its subsidiaries shall be allowed to submit only one tender from any one of the companies in the group.

(b) The existence of a holding-subsidiary relationship shall be determined as at the date set for the close of tender, or if this has been extended, the extended date, and in accordance with the provisions in Sections 13 to 15 of the Companies Ordinance (Cap. 622).

(2A) (a) For related parties, only one of them is permitted to submit a tender for this contract.

(b) For the purpose of this sub-clause (2A), an entity (including but not limited to sole proprietorship, partnership and limited company) and the tenderer are related parties if any of the following conditions applies as at the date set for the close of tender, or if this has been extended, the extended date:

(i) A person has control or joint control of the entity; and that person or his relatives:

(1) has control or joint control of the tenderer;

(2) has significant influence over the tenderer; or

(3) is a member of the key management of the tenderer or of a parent of the tenderer.

(ii) A person has control or joint control of the tenderer; and that person or his relatives:

(1) has significant influence over the entity; or

(2) is a member of the key management of the entity or a parent of the entity.

(iii) The entity, or any member of a group of which it is a part, provides key management services to the tenderer or to the parent of the tenderer.

(c) For the avoidance of doubt, the following definitions should be adopted when interpreting sub-clause (2A) above: -

'Control' means the power to govern the financial and operating policies of the tenderer/entity so as to obtain benefits from its activities.

'Joint control' means the contractually agreed sharing of control over the tenderer/entity, and exists only when the strategic financial and operating decisions relating to the tenderer/entity require the unanimous consent of the parties sharing control.

'Significant influence' means the power to participate in the financial and operating policy decisions of the tenderer/entity but is not control or joint control over those policies.

'Key management' mean those persons having authority and responsibility for planning,

directing and controlling the activities of a business, directly or indirectly, including any director (whether executive or otherwise) of that business.

A person's 'relatives' mean any family members of a person who may be expected to influence, or be influenced by, that person in their dealings with the tenderer or the entity. They may include but not limited to:

(i) The person's domestic partner and children;

(ii) children of the person's domestic partner; and

(iii) dependants of the person or the person's domestic partner.

(3) Failure to observe the above conditions shall render all related tenders null and void and any such tenders shall not be considered.

(4) The tenderer shall submit with its tender a duly signed and witnessed letter in the form set out in Appendix G to these General Conditions of Tender. The signatory to the letter shall be a person authorized to sign Government contracts on the tenderer's behalf.

GCT 30 Admission, promotion and confirmation to the List of Approved Contractors for Public Works / the List of Approved Suppliers of Materials and Specialist Contractors for Public Works

A tender submitted by a contractor who has applied for admission or promotion to the category, class and/or group specified in the tender invitation or, in relation to a contract for which tenders are invited from confirmed contractors only, a tender submitted by a contractor who has applied for confirmed status will not be considered unless its application for admission or promotion or, as the case may be, confirmation is approved by the date set for the close of tender, or if this has been extended, the extended date.

GCT 31 Eligibility of probationary contractors to tender and for the award of contracts

(1) A tender submitted by a contractor who is on probation in the category(ies), class(es) and/or group(s) specified in the tender invitation will be considered as non-conforming if, at the date set for the close of tender or, if this has been extended, the extended date:

(a) the number and/or value of contracts or works that it holds (also counting this contract and its corrected forecast total of the Prices) exceeds the limits on number and/or value of contracts or works in the relevant category, class and group as stipulated in the then current version of the Contractor Management Handbook (the "**Limits**"); or

(b) it is otherwise ineligible to tender according to the then current version of the Contractor Management Handbook (the "**CMH**").

(2) A tenderer who is on probation in the category(ies), class(es) and/or group(s) specified in the tender invitation will not be eligible for award of this contract if, at the date when the tender report is completed and signed for submission to the relevant authority for determination of the contract award:

(a) the number and/or value of contracts or works that it holds (also counting this contract and its corrected forecast total of the Prices) exceeds the Limits; or

(b) it is otherwise ineligible for the award of this contract according to the version of the CMH current at the date set for close of tender or, if this has been extended, the extended date.

(3) In counting the number and/or value of contracts or works that a tenderer holds under sub-clauses (1)(a) and (2)(a) above, only the joint venture contract(s) held by the tenderer of which it is the lead participant or major shareholder will be counted.

For the purpose of this sub-clause (3):

(a) Lead participant means a participant of an unincorporated joint venture who has the highest percentage participation in the joint venture; and

(b) Major shareholder means a shareholder of an incorporated joint venture who has the highest percentage participation in the joint venture.

(4) Tenderers should note that where:

(a) a probationary contractor has submitted tenders (including a tender for this contract) and attained the highest combined scores for more than one contract (including this contract) in the same category, class and group; and

(b) if the award of these contracts are determined at the same time but the award of two or more of these contracts to that probationary contractor will exceed the Limits,

the *Client* shall be entitled to determine which contract(s) is/are to be awarded to that probationary contractor on the basis of a combination of tender awards of these contracts that would cost least to the *Client*.

GCT 32 Ethical commitment

(1) The tenderer shall not, and shall procure that its employees, agents and subcontractors shall not, offer, solicit or accept an advantage as defined in the Prevention of Bribery Ordinance, Cap. 201 in connection with the tendering and execution of this contract.

(2) Failure to so procure or any act of offering, soliciting or accepting advantage referred to in (1) above committed by the tenderer or by an employee, agent or subcontractor of the tenderer shall, without affecting the tenderer's liability for such failure and act, result in its tender being invalidated.

GCT 33 Tender cost

The *Client* shall not in any circumstances be liable for any costs, expenses and damages incurred or suffered by the tenderers in connection with the preparation and submission of their tenders, in the event that this tender exercise is cancelled on any ground, including on the ground that funds are not available under Special Conditions of Tender Clause SCT 10.

GCT 34 Tenderer's consent and authorization on conviction records

(1) The tenderer shall submit with the tender a duly signed letter in the form set out in Appendix E to these General Conditions of Tender giving consent to the Major Works Project Management Office of Highways Department to obtain from all relevant government departments/bureaux, authorizing such relevant government departments/bureaux to release and make available to the Major Works Project Management Office of Highways Department and giving further consent to the Major Works Project Management Office of Highways Department to furnish to the *Project Manager* designate, all information relating to its convictions, including the legislation violated, dates of offences, dates of convictions and the associated fine imposed by the court, site addresses, contract numbers and contract titles, for offences under the following ordinances (including all subsidiary legislation made thereunder) and specific subsidiary legislation (if any):

(a) Section 27 of the Public Health and Municipal Services Ordinance (Cap 132);

(b) Section 17I and Section 38A of the Immigration Ordinance (Cap 115);

(c) Employment Ordinance (Cap 57);

(d) Factories and Industrial Undertakings Ordinance (Cap. 59);

(e) Occupational Safety and Health Ordinance (Cap. 509);

(f) Shipping and Port Control Ordinance (Cap. 313);

(g) Merchant Shipping (Local Vessels) Ordinance (Cap. 548);

(h) Air Pollution Control Ordinance (Cap. 311);

(i) Noise Control Ordinance (Cap. 400);

(j) Waste Disposal Ordinance (Cap. 354);

(k) Water Pollution Control Ordinance (Cap. 358);

(l) Dumping at Sea Ordinance (Cap. 466);

(m) Ozone Layer Protection Ordinance (Cap. 403);

(n) Environmental Impact Assessment Ordinance (Cap. 499); and

(o) Hazardous Chemicals Control Ordinance (Cap. 595).

The letter shall be signed by a person authorized to sign Government contracts on the tenderer's behalf.

(2) If the tenderer is a partnership or an unincorporated or incorporated joint venture, each participant of the partnership or unincorporated joint venture or shareholder of the incorporated joint venture shall submit such a duly signed letter. The signatory for such participant or shareholder shall be a person authorized to sign Government contracts on behalf of that participant or, as the case may be, shareholder.

GCT 35 Contingency sums, provisional sums and forecast total of the Prices

(1) Notwithstanding the inclusion of contingency sums, provisional sums and forecast total of the Prices in the Grand Summary of the *activity schedule*, the contingency sums, provisional sums and forecast total of the Prices shall not form part of this contract.

(2) The contingency sums and provisional sums are allowed as contingencies for the purpose of internal administration of the *Client* under the Stores and Procurement Regulations only. The forecast total of the Prices is included for tender evaluation purpose only and shall not affect the tendered total of the Prices which shall remain contractually binding. The tenderer shall not rely on any information supplied to it on the contingency sums, provisional sums or forecast total of the Prices as estimated changes to the Prices due to the effect of compensation events or other estimated payment which shall be assessed in accordance with the relevant contract terms if this contract is awarded to it.

(3) The attention of the tenderer is drawn to Clause A7 of the *additional conditions of contract*.